

MCR that ^{Min Cap. to defer Risk Shifting!} makes indifferent the 2 projects
 $E(Ret_A) \geq E(Ret_B)$ due to deter risk shifting

$$A \quad E(Ret_A) = 5\% \times \$100 - 4\% \times (\$100 - NW)$$

$$1 \quad E(Ret_B) = [20\% \times \$100 - 4\% \times (\$100 - NW)] \times 0.8 - 0.2 \times NW$$

$$E(Ret_A) = \$5 - \$4 + 4\% \times NW = \$1 + 4\% \times NW$$

$$A \quad E(Ret_B) = (\$20 - \$4 + 4\% \times NW) \times 0.8 - 0.2 \times NW$$

~~$$= \$16 + 0.32 \times NW$$~~

$$E(Ret_B) = \$16 \times 0.8 + 0.032 \times NW - 0.2 \times NW$$

$$1 \quad E(Ret_B) = \$12.8 - 0.168 \times NW$$

Put together: $E(Ret_A) \geq E(Ret_B)$

$$\$1 + 0.04 \times NW \geq \$12.8 - 0.168 \times NW$$

$$0.208 \times NW \geq \$11.8$$

$$NW \geq 56.73$$

Out of \$100 of ^{Assets} ~~Liab~~, get:

$$MCR = 56.73\%$$